ESG Adoption and Cost of Capital in Family vs. Non-Family Firms: Evidence from Bangladesh

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How do ESG practices influence borrowing costs differently for family vs. non-family firms in Bangladesh?

This study examines whether ESG disclosure helps Bangladeshi firms reduce borrowing costs in a market with weak investor protection. Using ESG data from firm interviews and financial data from annual reports and DSE filings, we run panel regressions controlling for firm size, age, ownership, and industry effects. A key focus is whether family-owned firms show different outcomes than non-family businesses. The results aim to inform sustainable finance debates and guide regulators, investors, and financial institutions in promoting ESG transparency for better access to affordable capital.

INTRODUCTION

In recent years, the issue of high borrowing costs has become a major concern for businesses in Bangladesh. Lending rates have increased from 11.52% in June 2024 to 12.11% in May 2025, highlighting the persistent challenge of high capital costs. About 70% of established industries are family-owned, making the family vs. non-family divide crucial for understanding corporate finance. While Bangladesh is gradually adopting ESG (Environmental, Social, Governance) practices, many firms face challenges such as limited awareness, weak enforcement, and low standardization in disclosures. Despite Bangladesh Bank's green finance programs offering loans at ⩽5%, uptake remains low due to information gaps and cumbersome procedures. A success story is Brac Bank, which dedicated 82% of its assets to sustainable finance in 2024. This research explores whether ESG adoption can reduce borrowing costs and whether family-owned firms benefit differently compared to non-family firms.

OBJECTIVE

i)Assess whether higher ESG disclosure correlates with a lower cost of capital.
ii)Compare the effects for family-owned vs. non-family firms.
iii)Offer recommendations for regulators, investors, and firms.

METHODOLOGY

Data: Panel data from publicly listed companies on the Dhaka Stock Exchange (2015–2024); ESG scores from annual reports, sustainability reports, and third-party ratings.
Firm Classification: Family vs. non-family based on controlling ownership, family management roles, and succession structure.
Variables:
Dependent: Cost of capital (WACC, borrowing rates, implied cost of equity).
Independent: ESG score (separated into E, S, G components).
Controls: Firm size, age, leverage, industry, ownership structure.
The regression model is:
$\text{Cost of Capital}_{i,t} = \beta_0 + \beta_1\, ESG_{i,t} + \beta_2\, FamilyFirm_{i,t} + \beta_3(ESG_{i,t} \times FamilyFirm_{i,t}) + \beta_4\, Controls_{i,t} + \epsilon_{i,t}$
Where $\text{Cost of Capital}_{i,t}$ is WACC, borrowing rates, or cost of equity; $ESG_{i,t}$ is the ESG score; $FamilyFirm_{i,t}$ is 1 for family firms, 0 for non-family firms; and the interaction term $ESG_{i,t} \times FamilyFirm_{i,t}$ examines how ESG affects family vs. non-family firms differently.

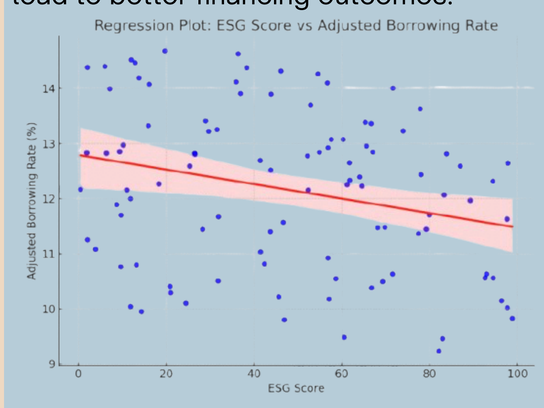
RESULTS

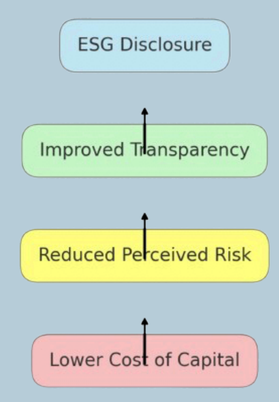
- **ESG Reduces Borrowing Costs:**
Firms with higher ESG scores show lower borrowing rates; the effect is significant after controlling for size, industry, and leverage.

- **Family vs. Non-Family Firms:**
ESG-driven cost reduction is stronger for non-family firms. Family firms see smaller overall impacts, but improvements in governance (G) lead to noticeable reductions.

- **Policy Implications:**
Transparency and disclosure can help bridge information asymmetry. Regulators should incentivize ESG adoption to lower financing costs.

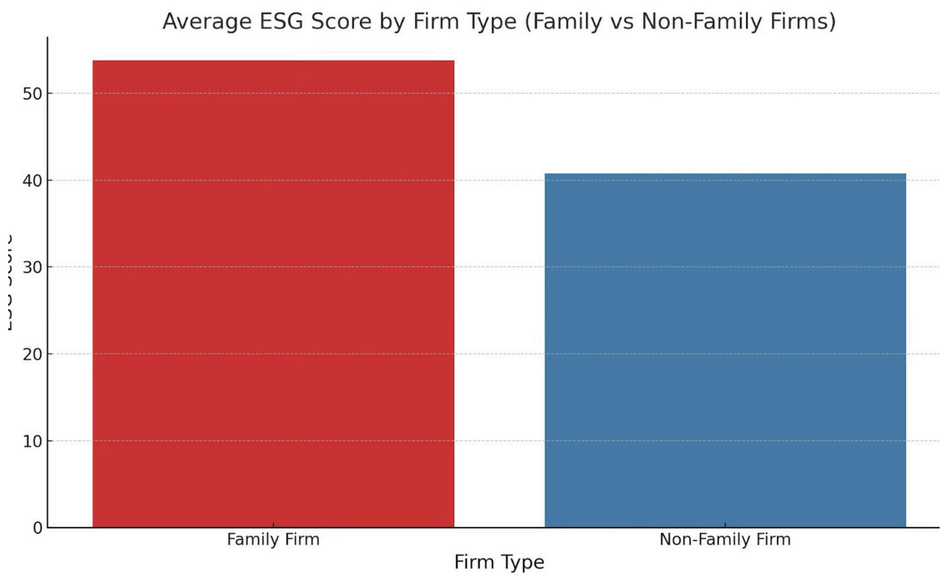
- **Case Insight:**
BRAC Bank's focus on sustainability demonstrates that strong ESG practices lead to better financing outcomes.

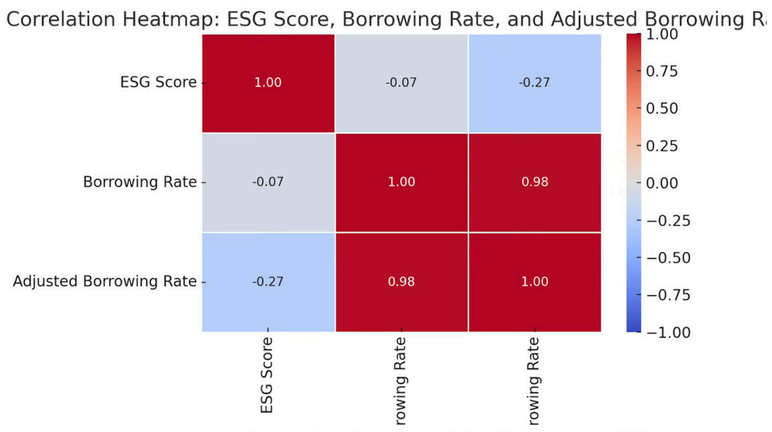


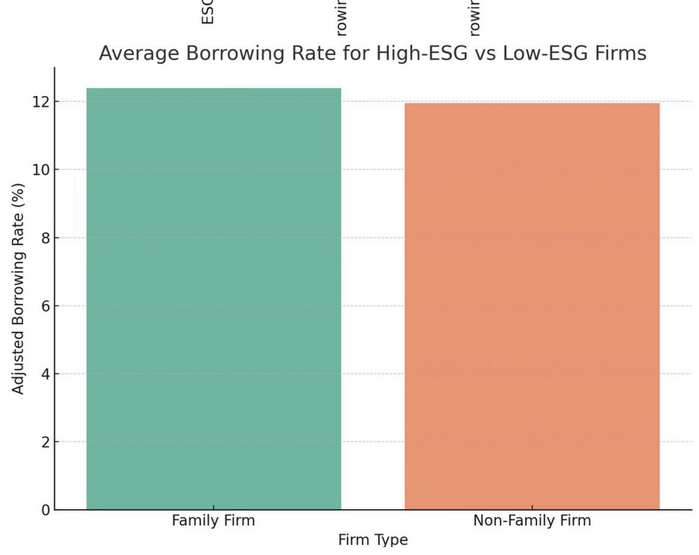


ANALYSIS

Analysis Approach:
1)Fixed Effects Model: This will control for unobservable firm-specific factors that do not change over time, such as management quality or corporate culture, ensuring that the observed effects are more robust and accurate.
2)Panel GMM (Generalized Method of Moments): This will be used to address potential endogeneity concerns, where unobserved variables may simultaneously affect both ESG scores and borrowing costs.
3)Robustness Checks: To ensure the validity of the results, we will:
i)Use lagged ESG variables to address potential reverse causality (i.e., that lower borrowing costs could lead to higher ESG adoption).
ii)Apply sector-specific fixed effects to account for industry-specific variations in cost of capital.
The analysis helps to provide comprehensive insights into whether ESG practices contribute to a reduction in borrowing costs, and whether this effect is different for family-owned versus non-family firms.







DISCUSSION AND IMPLICATIONS

For Regulators (BSEC, Bangladesh Bank):
Enforce standardized ESG reporting to reduce information asymmetry.
Provide incentives and training for family firms to adopt governance best practices.
Improve awareness of green finance schemes to boost utilization.
For Investors:
Integrate ESG metrics into credit assessments; recognize that ESG adoption signals lower default risk.
For Family Firms:
Investing in transparent governance (e.g., board independence, succession planning) can reduce borrowing costs.
Use ESG disclosure to signal long-term commitment and attract global capital.

CONCLUSION

In Bangladesh, ESG adoption is linked to lower financing costs. Non-family firms benefit the most, while family firms see significant improvements in governance and transparency.
Future Work:
- Expand ESG measurement coverage (e.g., supply chain, human rights).
- Explore cross-country comparisons within South Asia.
- Examine investor perceptions and credit ratings linked to ESG disclosure.

Acknowledgement
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